

CASE ID: 201806710002a

EPISODE NAME: List 2 Retaliation

2018/06/15 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

Summary:

On 2018/06/15, China threatened the United States with retaliatory tariffs in response to the Trump administration's announcement of \$16 billion worth of tariffs on Chinese imports. China imposed these tariffs on 2018/08/23, the same day the US imposed its tariffs. The episode is ongoing.

Narrative:

On 2018/06/15, China threatened the United States with retaliation after the US announced its first tranche of tariffs on China would be followed by an additional \$16 billion worth of duties.¹ The Chinese commerce ministry released a statement detailing tariffs on a proportional \$16 billion worth of US imports, including medical equipment, chemical products, and energy products, should the US tariffs be imposed.² Reporting suggested that the US oil industry expected significant disruptions due to threatened tariffs on crude oil.³

After the US published its final list of \$16 billion worth tariffed products on 2018/08/07, China released its finalized corresponding \$16 billion list the same day.⁴ China's finalized list, published by the commerce ministry, dropped threatened tariffs on crude oil and replaced them with duties on fish meal, wood waste, paper and paper waste, metal scraps, and various types of bicycles and cars, among other products.⁵

China imposed the tariffs on 2018/08/23, the day US tariffs went into effect.⁶

The episode is part of a larger campaign of economic coercion that began on 2018/03/01, when the United States announced it would impose global steel and aluminum tariffs.⁷ The two countries eventually traded four lists of tariffs.

These sanctions are still in place, and the episode is ongoing.

¹ Swanson, Ana. "U.S. and China Expand Trade War as Beijing Matches Trump's Tariffs." *New York Times*, 15 June 2018. <https://www.nytimes.com/2018/06/15/us/politics/us-china-tariffs-trade.html>

² *Ibid.*

³ Yap, Chuin-Wei. "Tariff Dispute Threatens China's Thirst for U.S. Oil." *Wall Street Journal*, 24 July 2018. <https://www.wsj.com/articles/tariff-dispute-threatens-chinas-thirst-for-u-s-oil-1532424601>

⁴ "China to slap additional tariffs on \$16 bln worth of U.S. goods." *Yahoo Finance (Reuters)*, 8 Aug. 2018. <https://finance.yahoo.com/news/china-slap-additional-tariffs-16-141106100.html>

⁵ *Ibid.*

⁶ Colin Dwyer. "U.S. And China Impose Fresh Tariffs As Trade War Escalates." *NPR*, 23 Aug. 2018. <https://www.npr.org/2018/08/23/641157424/u-s-and-china-impose-fresh-tariffs-as-trade-war-escalates>

⁷ Swanson, Ana. "Trump to Impose Sweeping Steel and Aluminum Tariffs." *New York Times*, 1 March 2018. <https://www.nytimes.com/2018/03/01/business/trump-tariffs.html>

